

TODD LOFGREN

***Oil & Gas Drilling Fund & QOZ 2.0:
Tax Advantaged Wealth Creation**



Oil & Gas Drilling Fund | QOZ 2.0 Tax Advantaged Wealth Creation



— ALTERNATIVE —
TAX MANAGEMENT





Identifying Taxable
Events and Managing
Outcomes



Analyzing, Planning
and Deploying Tax
Strategies

Balancing Tax
Mitigation with Risk
and Total Return



Progressive Income Tax Structure

2026 Tax Brackets for Earned Income and Short-Term Cap Gains

Tax Rate	Single Filers	Married Filing Jointly
10%	Up to \$12,400	Up to \$24,800
12%	\$12,401 - \$50,400	\$24,801 - \$100,800
22%	\$50,401 - \$105,700	\$100,801 - \$211,400
24%	\$105,701 - \$201,775	\$211,401 - \$403,550
32%	\$201,776 - \$256,225	\$403,551 - \$512,450
35%	\$256,226 - \$640,600	\$512,451 - \$768,700
37%	\$640,601 +	\$768,701 +

Capital Gains and Net Investment Income Tax Structure

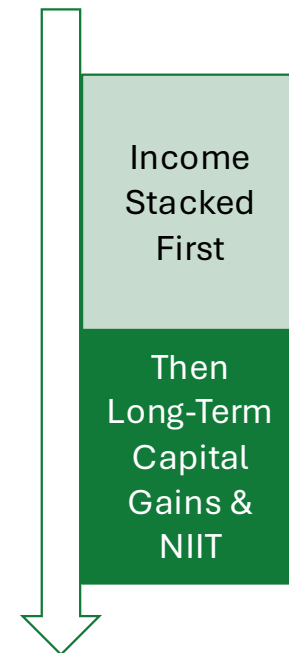
Long-Term Capital Gains Based on Taxable Income

Tax Rate	Single Filers	Married Filing Jointly
0%	Up to \$48,350	Up to \$96,700
15%	\$48,351 - \$533,400	\$96,701 - \$600,050
20%	\$533,401 +	\$600,051 +

Net Investment Income Tax (NIIT)

Additional Tax on Capital Gains, Dividends, Interest and Rental Income

3.8%	Calculated on lesser of:
	(1) Net Investment Income (or)
	(2) Amount by which modified adjusted gross income (MAGI) exceeds
	\$200,000 Single
	\$250,000 Joint



Tax Exposure on Appreciated Investment Real Estate

Federal Capital Gains Tax

0/15/20%

Net Investment Income Tax

3.8%

Depreciation Recapture

25%

State Tax

Various Rates



Analyzing, Planning and Deploying Tax Strategies

REDUCE, DEFER OR ELIMINATE TAX ON ANY APPRECIATED ASSET

1031 Exchange

- Investment Real Estate Asset

QOZ Funds

- Investment Real Estate
- Stocks
- Bonds
- Private Residence
- Vacation Homes
- Crypto Currency
- Patents and Copyrights
- Trademarks
- Artwork/Collectibles
- Exotic Automobiles

Qualified Opportunity Zone Funds (QOZ Funds)

QOZ Fund 1.0

Federal Tax Cuts &
Jobs Act of 2017

QOZ Fund 2.0

OBBA of 2025

- **Over 8,700 Designated Opportunity Zones** and 10% of Americas land mass across 50 states
- **Investors finance projects** and enterprises in exchange for certain tax advantages
- **QOZ Funds** are private investment vehicles with at least 90 percent of their capital in Opportunity Zones



Source: Opportunity Zones Map

QOZ Fund Timeline and Potential Benefits

QOZ Fund 1.0

Roll Capital Gains not Basis

- Individuals have 180 days to reinvest capital gains
- Partnerships and other entity deadlines may be extended
- Self-report on IRS Form 8997

Eliminate Tax on Growth

- Capital gains and depreciation recapture on QOZ Fund growth are eliminated after 10 years

Deferral of Gains

- Defer tax until 12/31/2026

Potential FMV Discount

- May provide markdown of capital gain reported – can choose value at time of transaction or 12/31/2026

QOZ Fund 2.0

Deferral of Gains

- Rolling 5-year tax deferral

Basis Step-Up

- 10% step-up in basis after 5 years
- 30% step-up for rural investments

Hypothetical QOZ Fund Portfolio

Blended QOZ Fund Portfolio Target Returns

	Cash on Cash Yield	Capital Distributions	Tax Deferral and Step-Up	Target Total Return	Year End Valuation	Return on Investment	
Year of Investment	0.00%	0.00%		0.00%	100,000	-100.00%	(100,000)
Year 1	1.33%	0.00%	2.05%	3.38%	103,384	3.38%	3,384
Year 2	2.00%	0.00%	2.20%	4.20%	107,580	4.20%	4,197
Year 3	2.07%	1.89%	2.21%	6.17%	113,747	6.17%	6,167
Year 4	2.71%	20.83%	2.21%	25.74%	139,488	25.74%	25,741
Year 5	4.37%	1.72%	2.21%	8.30%	147,786	8.30%	8,298
Year 6	4.77%	0.00%	3.42%	8.19%	155,977	8.19%	8,191
Year 7	5.03%	0.00%		5.03%	161,004	5.03%	5,027
Year 8	5.36%	0.00%		5.36%	166,367	5.36%	5,363
Year 9	5.69%	0.00%		5.69%	172,054	5.69%	5,687
Year 10	6.02%	0.00%		6.02%	178,077	6.02%	6,023
Year 11	6.19%	139.64%		145.83%	323,907	145.83%	145,830
After Tax Total	45.54%	164.08%	14.29%	223.91%	323,907	123.91%	123,907
Target IRR							9.93%

Assumed Tax Rates: Total 28.8% (Capital Gains Tax – 20.0%; Net Investment Income Tax – 3.8%; State Tax – 5.0%)

Hypothetical Growth Rate on Deferred Gains – 10%

Hypothetical Returns: No returns are guaranteed. This illustration does not represent nor is it indicative of any QOZ Fund offering returns

QOZ Fund Potential Outperformance

Return Comparison

	Target Excess Return	
Year 1	2.05%	2,051
Year 2	2.20%	2,197
Year 3	2.21%	2,207
Year 4	2.21%	2,208
Year 5	2.21%	2,208
Year 6	3.42%	3,418
Year 7		
Year 8		
Year 9		
Year 10		
Year 11	28.80%	28,800
After Tax Total	43.09%	43,087

- **Years 1-5** - Compounded after-tax growth of deferred capital gains tax
- **Year 6** - Step-up in basis (10% or 30%) reduces capital gains tax paid after a five-year deferral
- **Year 11+** - Step-up in basis on final disposition after ten-year deferral locks in tax free growth of assets
- **Year 11+** - Deductions against income received also receive step-up to eliminate potential recapture tax

Assumed Tax Rates: Total 28.8% (Capital Gains Tax – 20.0%; Net Investment Income Tax – 3.8%; State Tax – 5.0%)

Hypothetical Growth Rate on Deferred Gains – 10%

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Important Deadlines for QOF Investors

Understanding the 180-day window and pass-through timing elections

Who Is Eligible to Invest?



Individuals (including foreign individuals filing U.S. tax returns)



Family Offices, Trusts, and Estates



Corporations (S Corps and C Corps)



Real Estate Investment Trusts (REITs)



Partnerships

180-Day Investment Window

Individual Gains

180 days from date of gain recognition. Investment may span across calendar years.

Pass-Through Gains (K-1 Reported)

180 days from the last day of the pass-through entity's taxable year is the default (e.g., December 31 for calendar year entities) but investors may elect to begin the 180-day window from two alternate dates:

- On the date of the sale or gain recognition event
- On the due date of the pass-through entity's tax return (e.g., March 15)
 - Business sales often result in short final tax-years that end before December 31, accelerating the 180-day window options for affected taxpayers.
 - For taxpayers to be eligible for the extended pass-through 180-day windows noted above, capital gain must be allocated from a pass-through entity to the taxpayer on Schedule K-1. Disposition of an interest in a pass-through entity is typically a taxpayer-level transaction that does not qualify for alternate 180-day windows.

Analyzing, Planning and Deploying Tax Strategies

REDUCE TAXABLE INCOME

Income Tax Exposure

- W2 Income
- 1099 Income
- Portfolio Income
- Incentive Stock Options (ISOs)
- NQ Stock Options (NSOs)
- Restricted Stock Awards (RSAs)
- Profit Sharing Bonuses
- Passive Income

Tax Code Solutions

✓ **IRC §263 Deductions**

- Oil and Gas Funds

✓ **IRC §168 (k) Bonus Depreciation**

- Solar Development
- Equipment Leasing
- Accessory Dwelling Units (ADUs)
- Short Term Rental Loophole
- Cost Segregation
- Annual Depreciation Schedule

Potential Benefits

- Intangible Drilling Cost (IDC)
Deductions may offset income
- Depreciation may provide deductions against current and future income

IRC §263 Deductions for Oil and Gas Development

Capital Expenditure Deductions

Intangible Drilling Costs (IDCs)

- Deductions of up to 92% of investment amount in current year
- Form 1040 Schedule E Business Loss reduces reportable income
- Excess business loss limitations for noncorporate taxpayers of \$512k (\$256 for single filers)

Passive Income Potential From Operations

- **Oil Target** - 10-15 years cash flows
- **Natural Gas Target** - 20+ years cash flows
- **Depletion Allowance** - may offset 15% of operational income each year



Disclaimer: There are no guarantees oil and gas programs will reach target operational cash flows. Oil and Gas prices fluctuate and well output is highly volatile and unpredictable.

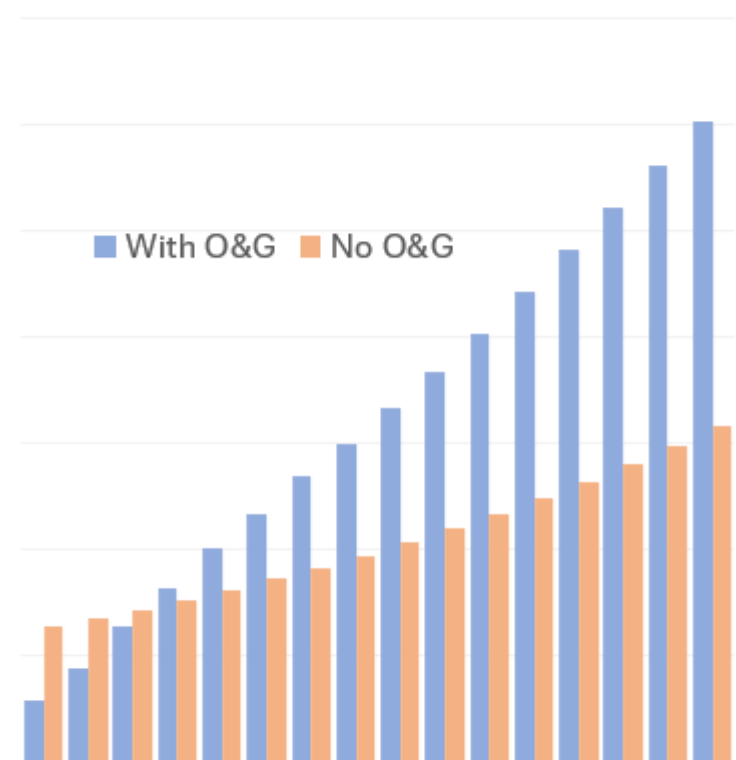
Hypothetical Oil and Gas Investment

OIL AND GAS POTENTIAL IDC DEDUCTION TAX SAVINGS

	Without O&G	With O&G	
Pre-Tax Income	100,000	100,000	Pre-Tax Investment
		(88,000)	Target Intangible Drilling Cost Deduction (88%)
Adjusted Gross Income	100,000	12,000	
Combined Marginal Tax Rate	37.0%	37.0%	
Current Year Tax Liability	(37,000)	(4,440)	
Initial Tax Savings		32,560	
Cash Retained After-Tax	63,000	28,120	
Net O&G Investment		71,880	

OPPORTUNITY COST COMPARISON

No O&G	With O&G	Difference	% Difference
\$ 63,000	\$ 28,120	\$ (34,880)	-55.4%
66,969	43,602	\$ (23,368)	-34.9%
71,188	63,486	\$ (7,703)	-10.8%
75,673	81,196	\$ 5,522	7.3%
80,441	100,021	\$ 19,580	24.3%
85,509	116,605	\$ 31,096	36.4%
90,896	134,233	\$ 43,338	47.7%
96,622	149,545	\$ 52,923	54.8%
102,709	165,821	\$ 63,112	61.4%
109,180	183,123	\$ 73,943	67.7%
116,058	201,515	\$ 85,457	73.6%
123,370	221,065	\$ 97,695	79.2%
131,142	240,476	\$ 109,334	83.4%
139,404	260,425	\$ 121,021	86.8%
148,187	280,259	\$ 132,073	89.1%
157,522	301,343	\$ 143,821	91.3%



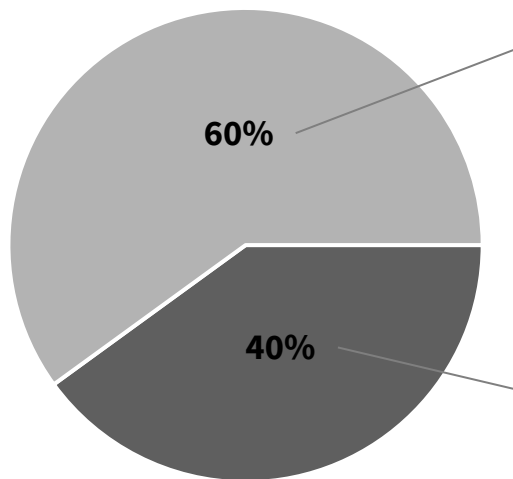
Compound Growth Rate

10.0%

- No O&G reflects retained initial after-tax cash compounded at growth rate with no additional cash flow
- O&G reflects retained initial after-tax cash compounded at growth rate with after-tax cash flow from operations
- Numbers in blue represent amount of outperformance by O&G investment

Balancing Tax Mitigation with Risk and Total Return

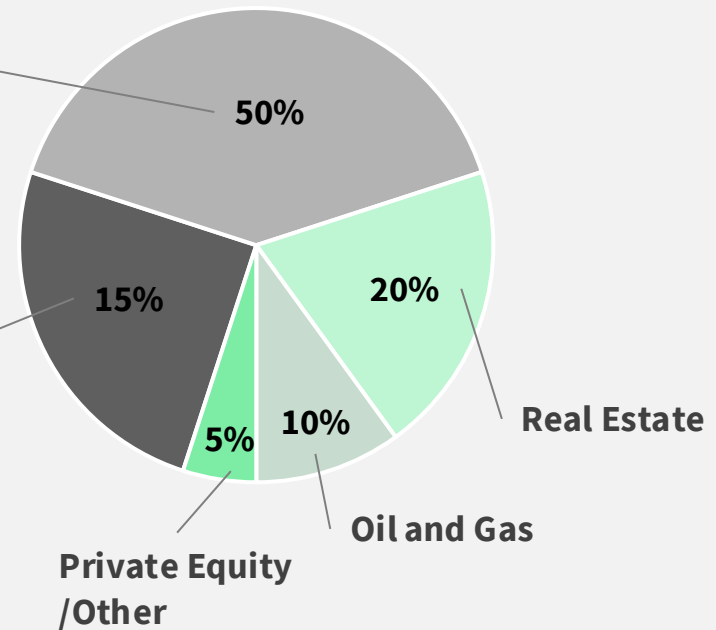
TRADITIONAL 60/40



Stocks

Bonds

TAX-ADVANTAGED ALTERNATIVE INVESTMENTS



Alternative Investments and the Efficient Frontier

Alternative Investments may help reduce volatility and increase returns

AI Assets include:

- Real Estate
- Oil & Gas
- Private Equity
- Private Debt



Institutional Allocations to Private Markets



Source: UBS Global Family Office Report 2024. 2022 NACUBO-TIAA Study of Endowments (most current available).
Data prepared February 2023 and scaled to exclude 3% cash and 3% other.

2026 Alternative Tax Management Webinar Series

September 10, 2026, 1:00 EST

Mitigating Tax Exposure – Past, Present and Future

[Areas of Focus: Strategies Overview | Risk and Return Profiles]

Past

September 22, 2026, 1:00 EST

Turn Capital Gains into Tax Free Growth of Wealth

[Areas of Focus: Qualified Opportunity Zone Funds]

Present

October 8, 2026, 1:00 EST

Strategies Designed to Minimize Taxable Income

[Areas of Focus: Oil & Gas | Private Real Estate | Private Debt | Preferred Equity]

October 20, 2026, 1:00 EST

Transition from Active to Passive Real Estate Owner Tax Efficiently

[Areas of Focus: 1031 Exchange | Delaware Statutory Trusts (DSTs)]

Future

November 5, 2026, 1:00 EST

Structure Assets for Tax Deferred Growth and Tax-Free Income

[Areas of Focus: Roth IRAs | QOZ Funds]

November 17, 2026, 1:00 EST

Learn How to Transfer Assets to Beneficiaries Tax-Free

[Areas of Focus: DSTs | Roth IRAs | QOZ Funds]



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END NOTES

Private equity represented by Burgiss Buyout Index. Public equity represented by MSCI World. Private credit represented by Cliffwater Direct Lending Index. Public credit represented by S&P UBS Leveraged Loan Index. Private real estate represented by NCREIF ODCE Index. Public real estate represented by NAREIT All Equity REIT Index. Private infrastructure represented by Burgiss Infrastructure Index. Public infrastructure represented by S&P Global Infrastructure Index.